Corporate Finance (in lingua inglese) - A.Y. 2025/2026
Topic 4: How to calculate present values

1. How do you calculate the future value of a sum S that is invested today for the next 5 years? Show the formula (compound interest).
2. Clarify the difference between opportunity cost of capital and return of an investment.
3. Explain how to choose among investments according to the NPV rule and rate of return rule.
4. The NPV of an investment is equal to zero. Should you invest in it or not?
5. Do you prefer to obtain a return of € 100 after one year on an investment of € 1,000 or € 200 after one year on an investment of € 2,000?
6. You can either invest € 1,000 and obtain a NPV of 200 or € 3,000 and obtain a NPV of 250. No capital rationing. Which one would you choose?
7. Suppose you are a financial manager of a company. You have no future valuable opportunities of investment. Explain what valuable opportunities of investment technically means and what you should do with the extra cash you have available.

If you need help, please revise Chapter 2 of the textbook.